

Zebra Technologies

First Quarter 2024 Results

April 30, 2024



Safe Harbor Statement

Statements made in this presentation which are not statements of historical fact are forward-looking statements and are subject to the safe harbor provisions created by the Private Securities Litigation Reform Act of 1995. Actual results may differ from those expressed or implied in the company's forward-looking statements. Zebra undertakes no obligation, other than as may be required by law, to publicly update or revise any forward-looking statements, whether as a result of new information, future events, changed circumstances or any other reason after the date of this release. These forward-looking statements are based on current expectations, forecasts and assumptions and are subject to the risks and uncertainties inherent in Zebra's industry, market conditions, general domestic and international economic conditions, and other factors. These factors include customer acceptance of Zebra's offerings and competitors' offerings, and the potential effects of emerging technologies and changes in customer requirements. The effect of global market conditions and the availability of credit and capital markets volatility may have adverse effects on Zebra, its suppliers and its customers. In addition, natural disasters, man-made disasters, public health issues (including pandemics), and cybersecurity incidents may have negative effects on Zebra's business and results of operations. Zebra's ability to purchase sufficient materials, parts, and components, and ability to provide services, software, and products to meet customer demand could negatively impact Zebra's results of operations and customer relationships. Profits and profitability will be affected by Zebra's ability to control manufacturing and operating costs. Because of its debt, interest rates and financial market conditions may also have an adverse impact on Zebra's results. Foreign exchange rates, customs duties and trade policies may have an adverse effect on financial results because of the large percentage of Zebra's international sales. The impacts of changes in foreign and domestic governmental policies, regulations, or laws, as well as the outcome of litigation or tax matters in which Zebra may be involved are other factors that could adversely affect Zebra's business and results of operations. The success of integrating acquisitions could also adversely affect profitability, reported results and the company's competitive position in its industry. These and other factors could have an adverse effect on Zebra's sales, gross profit margins and results of operations and increase the volatility of Zebra's financial results. When used in this presentation, the words "anticipate," "believe," "outlook," and "expect" and similar expressions, as they relate to the company or its management, are intended to identify such forward-looking statements, but are not the exclusive means of identifying these statements. Descriptions of certain risks, uncertainties and other factors that could adversely affect the company's future operations and results can be found in Zebra's filings with the Securities and Exchange Commission. In particular, please refer to Zebra's latest filing of its Form 10-K and Form 10-Q. This presentation includes certain non-GAAP financial measures and we refer to the reconciliations to the comparable GAAP financial measures and related information contained in the appendix.

Agenda

01

Q1 Summary
Bill Burns, CEO

02

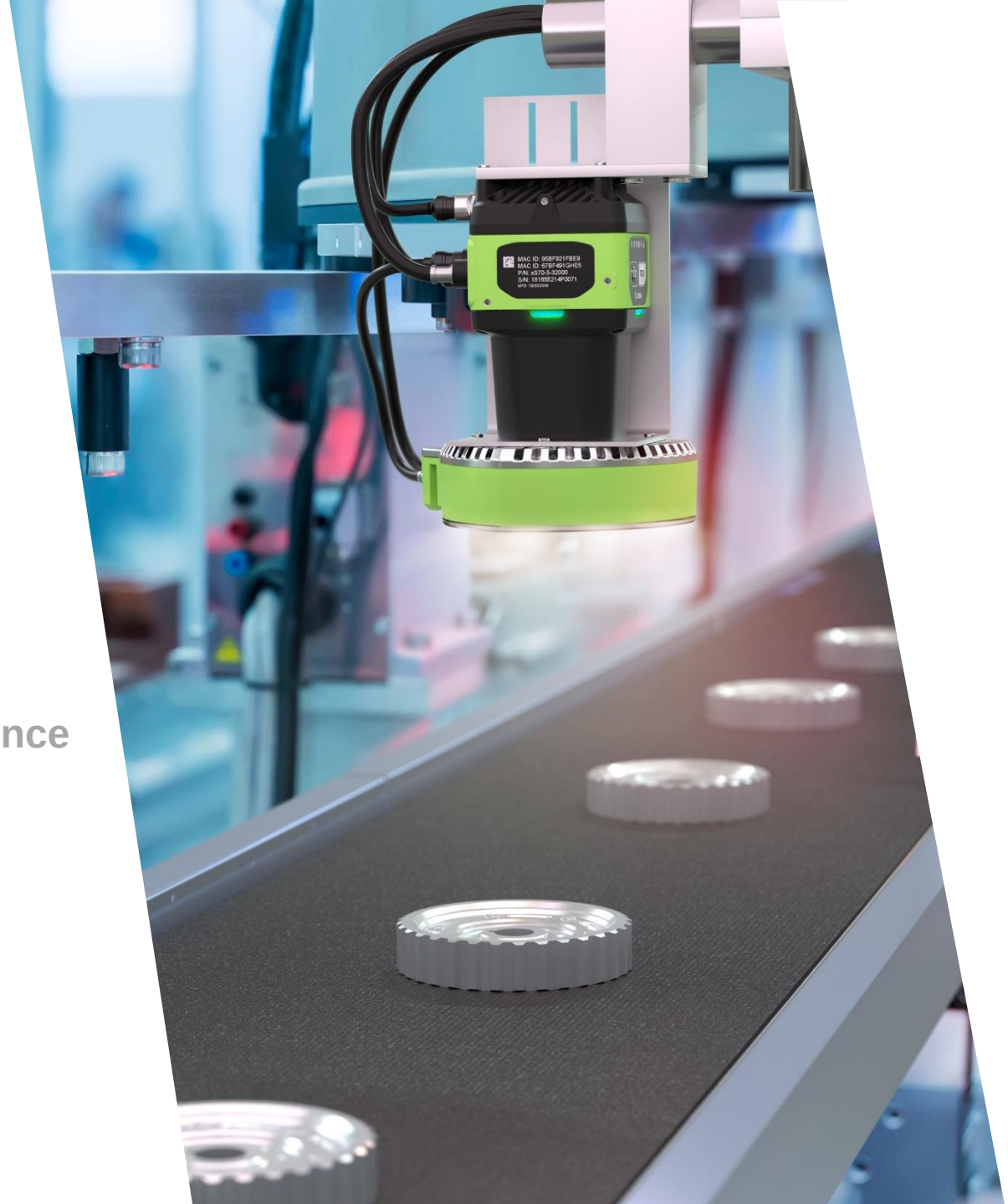
Q1 Financials and 2024 Outlook
Nathan Winters, CFO

03

Advancing Enterprise Asset Intelligence
Bill Burns, CEO

04

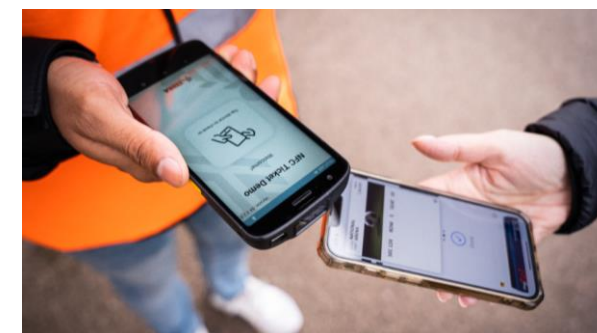
Q&A
Bill Burns, CEO
Nathan Winters, CFO



First Quarter 2024 Summary ⁽¹⁾

- As expected, continued demand softness across our end markets
- Sales \$1,175M, (16.8)% organic sales decline
 - Broad-based declines across all regions and major product categories, with relative outperformance in mobile computing
 - Services & Software a bright spot
- Adjusted EBITDA Margin of 19.9%, decreased (150) bps
 - Adjusted Gross Margin increased 60 bps
 - Increased Service & Software margins
 - Favorable impact from lower premium supply chain costs
 - Partially offset by expense deleveraging on lower sales volume
 - Operating expense deleveraging on lower sales; partially offset by ~ \$25 million benefit from our restructuring plans
- Non-GAAP Diluted EPS \$2.84, down (28)%

Sequential improvement in sales, profitability, and cash flow driven by a modest recovery in demand, restructuring actions, and inventory management initiatives



⁽¹⁾ Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial measures

Agenda

01

Q1 Summary
Bill Burns, CEO

02

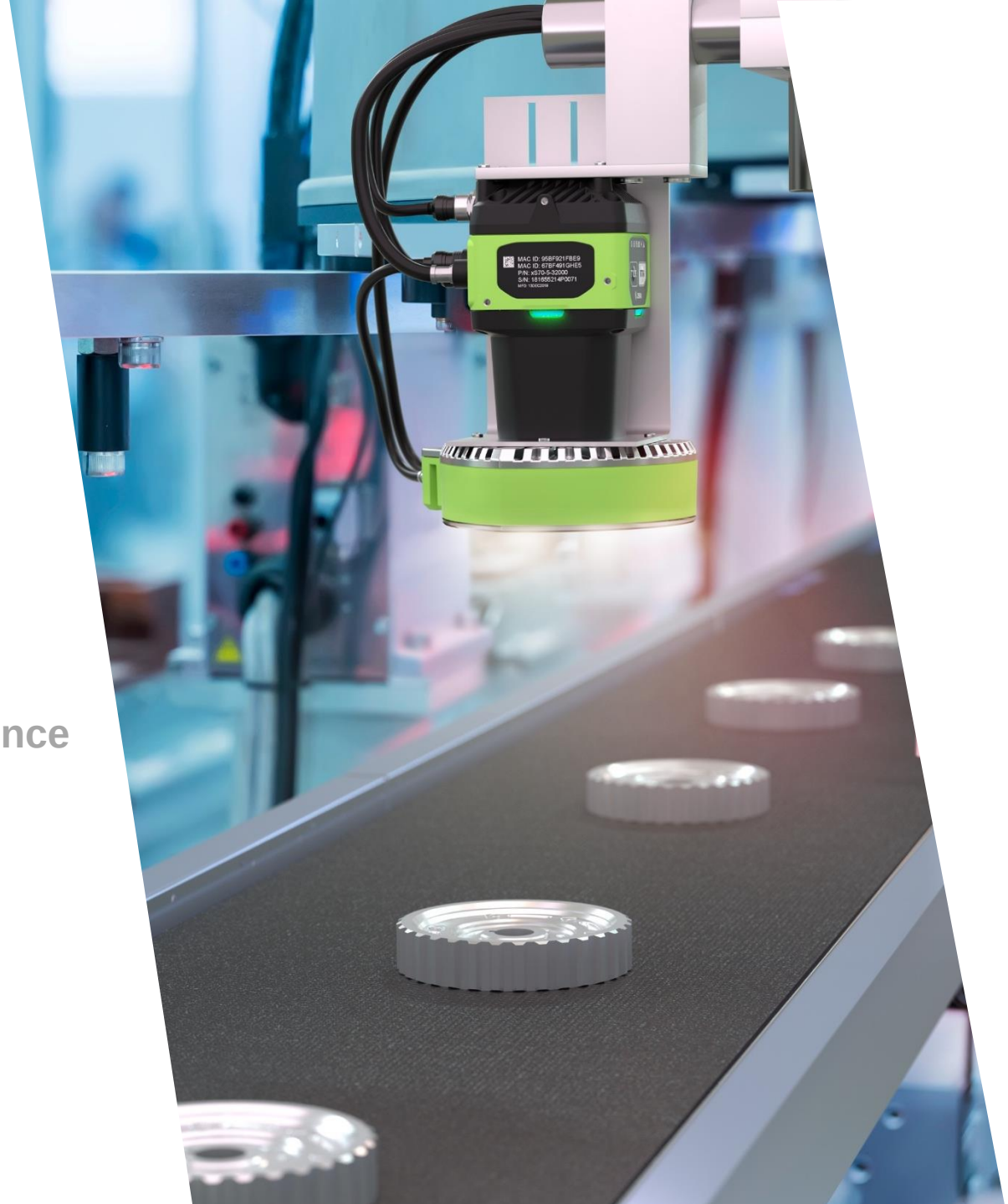
Q1 Financials and 2024 Outlook
Nathan Winters, CFO

03

Advancing Enterprise Asset Intelligence
Bill Burns, CEO

04

Q&A
Bill Burns, CEO
Nathan Winters, CFO



First Quarter P&L Summary⁽¹⁾

In millions, except per share data	1Q24	1Q23	Change
Net Sales	\$1,175	\$1,405	(16.4)%
Organic Net Sales Decline ⁽²⁾			(16.8)%
Adjusted Gross Profit	\$565	\$668	(15.4)%
Adjusted Gross Margin	48.1%	47.5%	60 bps
Adjusted Operating Expenses	\$348	\$384	(9.4)%
Adjusted EBITDA	\$234	\$301	(22.3)%
Adjusted EBITDA Margin	19.9%	21.4%	(150)bps
Non-GAAP Diluted EPS	\$2.84	\$3.94	(27.9)%

SEGMENT ORGANIC SALES DECLINE⁽²⁾

- EVM Segment (11.8)%
- AIT Segment (25.3)%

REGIONAL ORGANIC SALES DECLINE⁽²⁾

- North America (16)%
- EMEA (16)%
- Asia Pacific (26)%
- Latin America (15)%

⁽¹⁾ Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial measures

⁽²⁾ Organic Net Sales Decline: constant FX to prior-year period and excludes revenue from acquisitions for the 12 months following each respective acquisition date

Cash Flow & Balance Sheet



Cash Flow: 1Q24

- Free cash flow of \$111M, \$203M higher YoY
 - Working capital improvements
 - Lower incentive compensation and tax payments
 - Partially offset by lower operating profits
- \$133M net debt paydown



Strong Liquidity Position: 1Q24

- \$127M cash & cash equivalents
- \$2.1B total debt on balance sheet
- Net-debt-to-adjusted-EBITDA ratio of 2.6x
- \$1.3B capacity under revolving credit facility

Outlook & Assumptions

2Q24

- Sales decline between 1% and 5% YoY
 - ~ 50bps favorable impact from FX
- Adjusted EBITDA margin slightly above 19%
- Non-GAAP diluted EPS ~ \$2.60 to \$2.90

FY24 - Raising Sales and Profitability Outlook

- Sales growth between 1% and 5% YoY
 - Negligible impact from FX
- Adjusted EBITDA margin ~ 20%
- Non-GAAP diluted EPS ~ \$11.25 to \$12.25
- Free cash flow expected to be at least \$600M, net of our final \$45M settlement payment in Q1
- Capital expenditures \$70M – \$80M
- Depreciation \$65M – \$75M and Amortization \$95M – \$105M
- Stock-based compensation expense \$90M – \$100M
- Non-GAAP tax rate ~ 17%

We continue to take an agile approach to navigating the uncertain near-term environment.

Agenda

01

Q1 Summary
Bill Burns, CEO

02

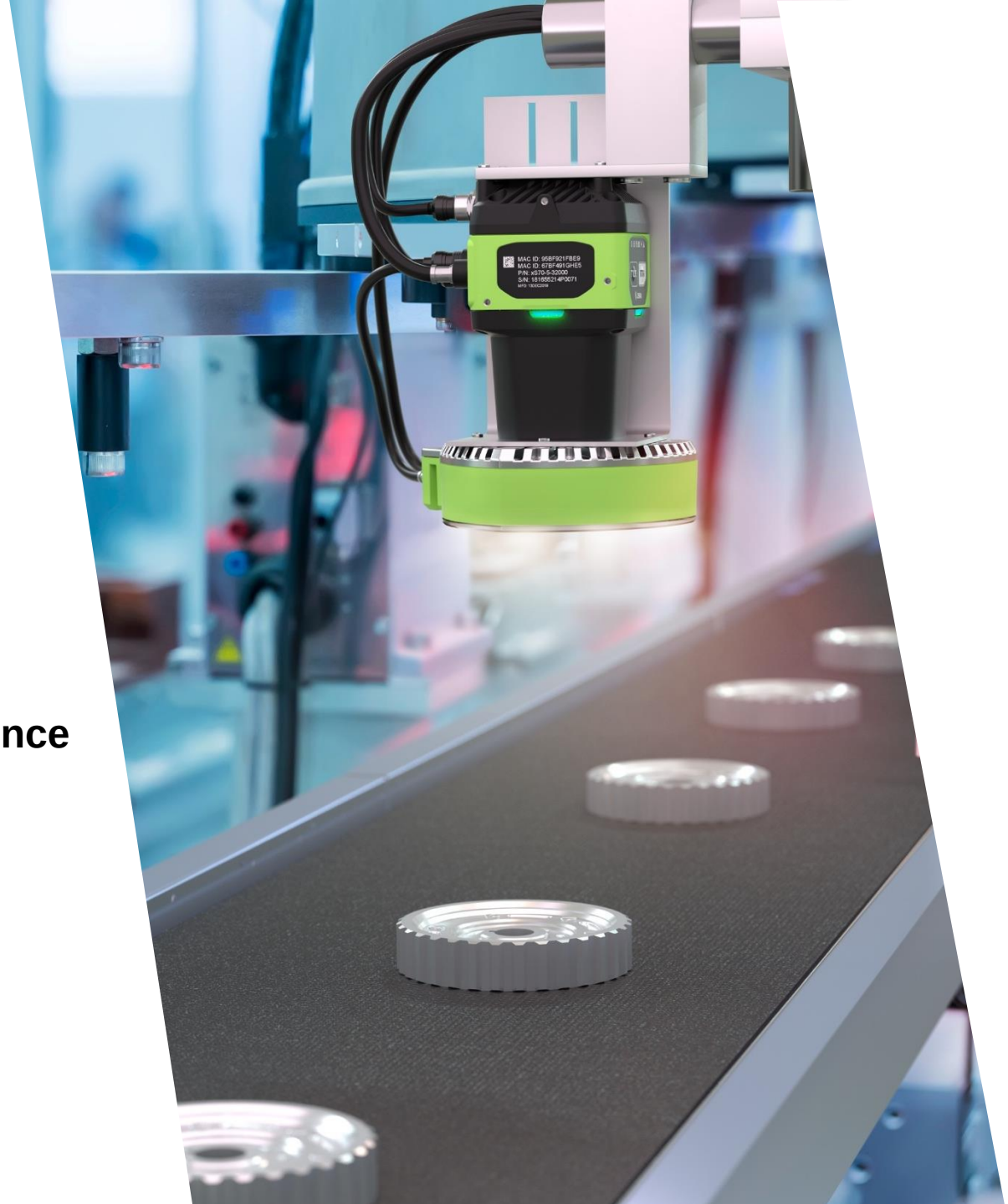
Q1 Financials and 2024 Outlook
Nathan Winters, CFO

03

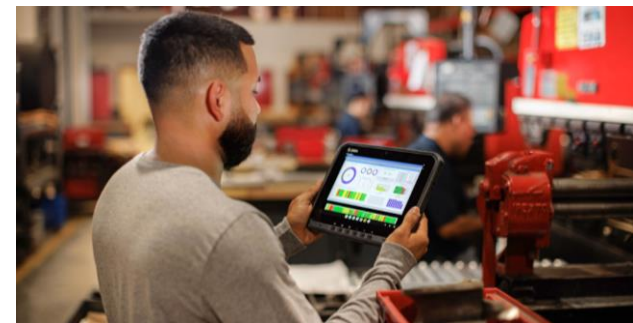
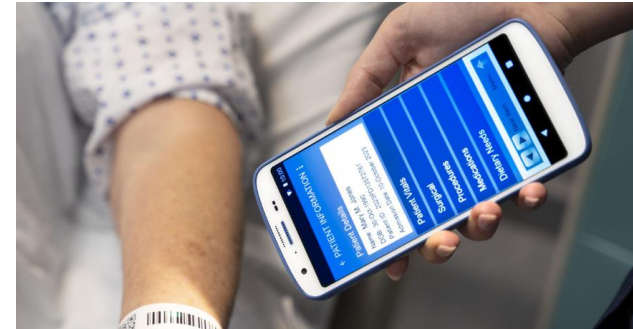
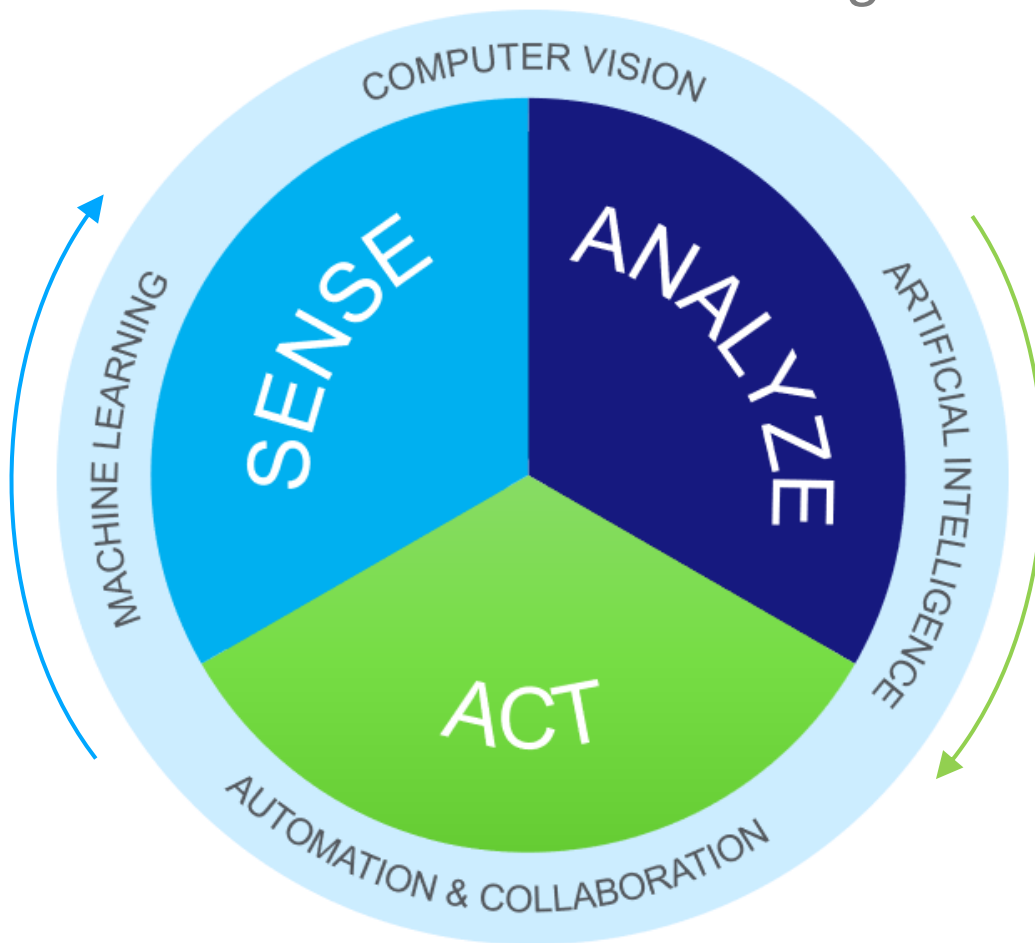
Advancing Enterprise Asset Intelligence
Bill Burns, CEO

04

Q&A
Bill Burns, CEO
Nathan Winters, CFO



Real-Time Actionable Insights



10

Zebra Optimizes Workflows for the On-Demand Economy

Trusted Strategic Partner to Industry Leaders



Retail & E-Commerce

- Elevated Customer Experience
- Optimized Inventory
- Engaged Associates



Transportation & Logistics

- Enhance Worker Productivity
- Increase Asset Utilization and Inventory Visibility
- Meet Customer Expectations



Manufacturing

- Production Throughput
- Operational Excellence
- Quality and Compliance



Healthcare

- Safer Patient Outcomes
- Unified Staff Collaboration
- Strengthened Operational Efficiency



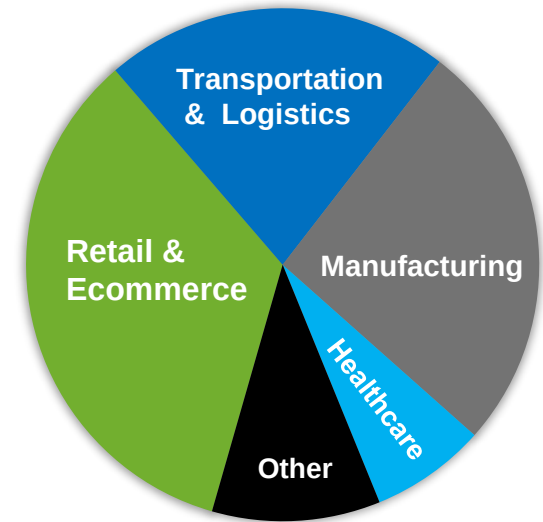
Other Markets

- Critical Communications
- Outage and Disaster Management

Attractive Long-Term Growth Opportunities Across Our End Markets

Market Served	Opportunity
Retail & Ecommerce	• Improve profitability of e-commerce order fulfillment from stores • Enhance associate and customer experiences to drive preference and growth • Reimagining checkout, inventory visibility and point-of-sale to address shrink • GenAI to empower front-line associates and create new ways of working
Manufacturing	• Acceleration of government regulations driving new traceability requirements • Machine vision, robotics and AI will deliver new levels of productivity & quality • Supply chain resiliency becomes table-stakes; real-time data demands increase
Transportation & Logistics	• Improve productivity and profitability of last-mile delivery • New levels of workflow automation required to address labor constraints • Increased utilization of 3PLs and greater demands on reverse logistics
Healthcare	• Accelerating workflows by digitally connecting assets, patients and staff • Patient engagement and virtual care, including home healthcare • Improving supply chain planning and execution across large health systems

Sales Mix by Vertical



Agenda

01

Q1 Summary
Bill Burns, CEO

02

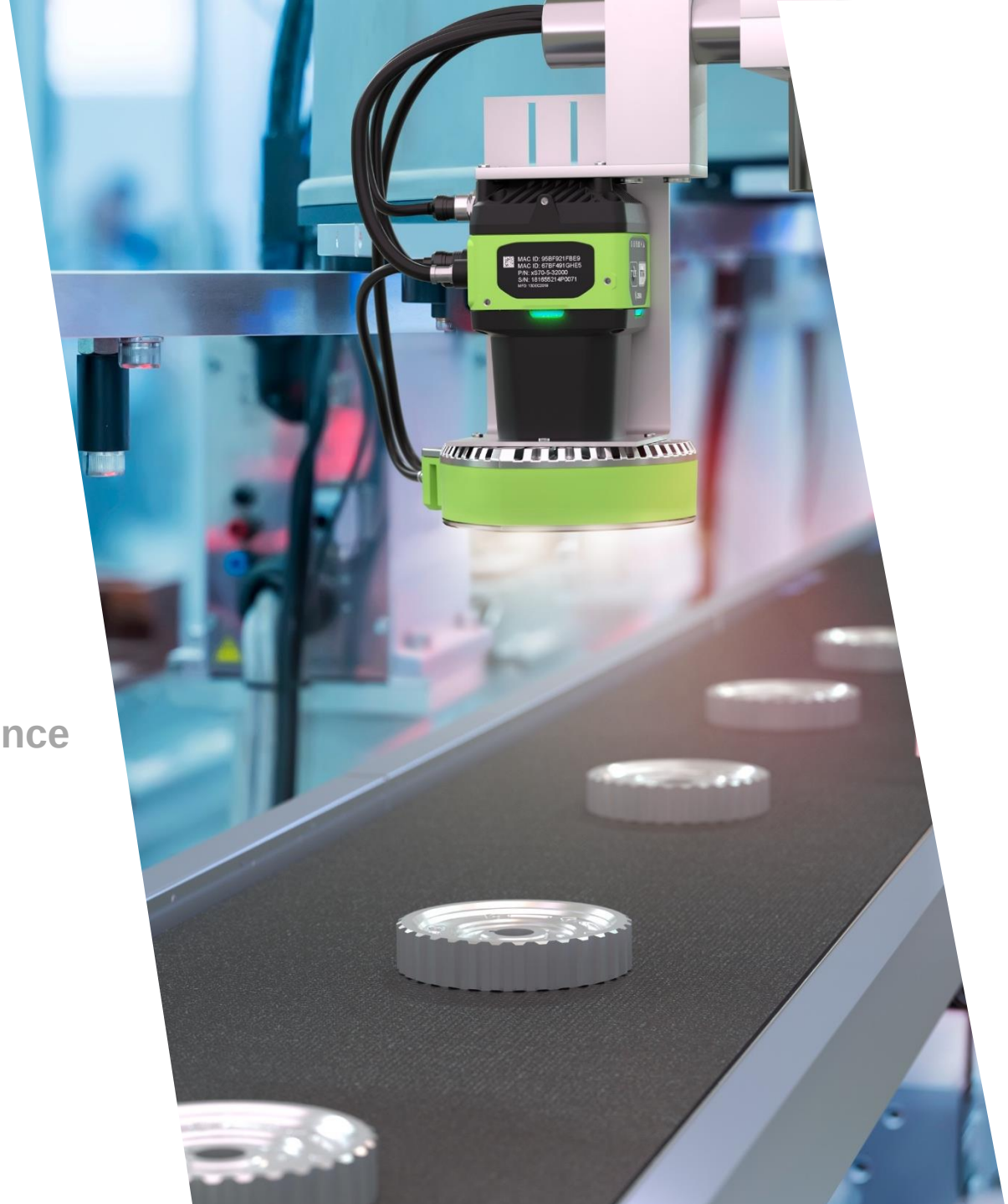
Q1 Financials and 2024 Outlook
Nathan Winters, CFO

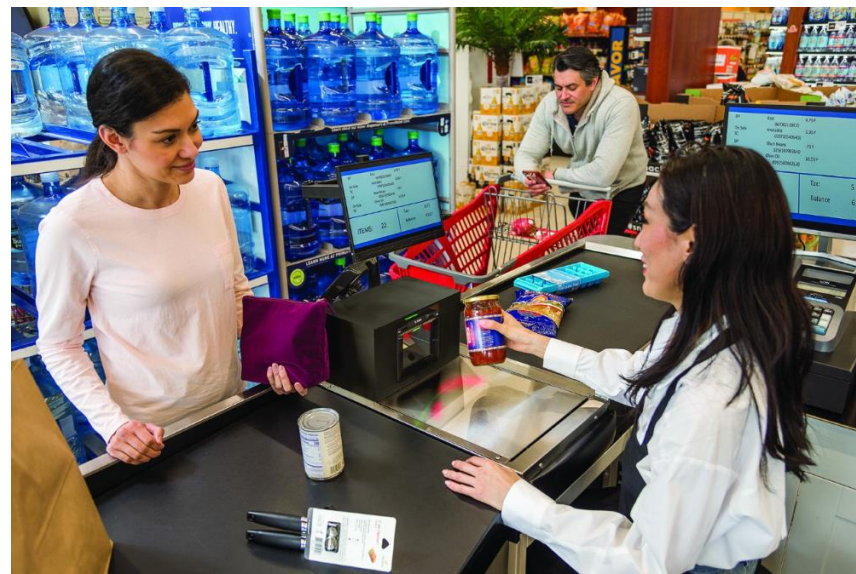
03

Advancing Enterprise Asset Intelligence
Bill Burns, CEO

04

Q&A
Bill Burns, CEO
Nathan Winters, CFO





Q&A

Appendix

Use of Non-GAAP Financial Information

This presentation contains certain Non-GAAP financial measures, consisting of “adjusted net sales,” “adjusted gross profit,” “adjusted gross margin,” “EBITDA,” “Adjusted EBITDA,” “Adjusted EBITDA margin,” “Adjusted EBITDA % of adjusted net sales,” “non-GAAP net income,” “non-GAAP earnings per share,” “non-GAAP diluted earnings per share,” “free cash flow,” “organic net sales,” “organic net sales growth (decline),” “organic net sales decline,” and “adjusted operating expenses.” Management presents these measures to focus on the on-going operations and believes it is useful to investors because they enable them to perform meaningful comparisons of past and present operating results. The company believes it is useful to present non-GAAP financial measures, which exclude certain significant items, as a means to understand the performance of its ongoing operations and how management views the business. Please see the “Reconciliation of GAAP to non-GAAP Financial Measures” tables and accompanying disclosures at the end of this presentation for more detailed information regarding non-GAAP financial measures herein, including the items reflected in adjusted net earnings calculations. These measures, however, should not be construed as an alternative to any other measure of performance determined in accordance with GAAP.

The company does not provide a reconciliation for non-GAAP estimates on a forward-looking basis (including the information under “Outlook” above) where it is unable to provide a meaningful or accurate calculation or estimation of reconciling items and the information is not available without unreasonable effort. This is due to the inherent difficulty of forecasting the timing or amount of various items that have not yet occurred, are out of the company’s control and/or cannot be reasonably predicted, and that would impact diluted net earnings per share, the most directly comparable forward-looking GAAP financial measure. For the same reasons, the company is unable to address the probable significance of the unavailable information. Forward-looking non-GAAP financial measures provided without the most directly comparable GAAP financial measures may vary materially from the corresponding GAAP financial measures.

As a global company, Zebra’s operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations because the underlying foreign currencies in which the company transacts change in value over time compared to the U.S. dollar; accordingly, the company presents certain organic growth financial information, which includes impacts of foreign currency translation, to provide a framework to assess how the company’s businesses performed excluding the impact of foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating current period results at the currency exchange rates used in the comparable period in the prior year, rather than the exchange rates in effect during the current period. In addition, the company excludes the impact of its foreign currency hedging program in the prior year periods. The company believes these measures should be considered a supplement to and not in lieu of the company’s performance measures calculated in accordance with GAAP.

GAAP to Non-GAAP Organic Net Sales Decline Reconciliation

(Unaudited)

	Three Months Ended		
	March 30, 2024		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales decline	(24.9)%	(11.3)%	(16.4)%
Adjustments:			
Impact of foreign currency translations ⁽¹⁾	(0.4)%	(0.5)%	(0.4)%
Consolidated Organic Net sales decline	<u>(25.3)%</u>	<u>(11.8)%</u>	<u>(16.8)%</u>

- (1) Operating results reported in U.S. Dollars are affected by foreign currency exchange rate fluctuations. Foreign currency translation impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. Dollar. This impact is calculated by translating the current period results at the currency exchange rates used in the comparable prior year period, inclusive of the Company's foreign currency hedging program.

GAAP to Non-GAAP Gross Margin Reconciliation

(In millions)
(Unaudited)

	Three Months Ended					
	March 30, 2024			April 1, 2023		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
<u>GAAP</u>						
Reported Net sales	\$ 392	\$ 783	\$ 1,175	\$ 522	\$ 883	\$ 1,405
Reported Gross profit	184	379	563	258	409	667
Gross Margin	46.9 %	48.4 %	47.9 %	49.4 %	46.3 %	47.5 %
<u>Non-GAAP</u>						
Adjusted Net sales	\$ 392	\$ 783	\$ 1,175	\$ 522	\$ 883	\$ 1,405
Adjusted Gross profit ⁽¹⁾	185	380	565	258	410	668
Adjusted Gross Margin	47.2 %	48.5 %	48.1 %	49.4 %	46.4 %	47.5 %

(1) Adjusted Gross profit excludes share-based compensation expense.

GAAP to Non-GAAP Net Income Reconciliation

(In millions, except share data)
(Unaudited)

	Three Months Ended	
	March 30, 2024	April 1, 2023
GAAP Net income	\$ 115	\$ 150
Adjustments to Cost of sales ⁽¹⁾		
Share-based compensation	2	1
Total adjustments to Cost of sales	2	1
Adjustments to Operating expenses ⁽¹⁾		
Amortization of intangible assets	26	26
Acquisition and integration costs	1	—
Share-based compensation	19	22
Exit and restructuring costs	10	10
Total adjustments to Operating expenses	56	58
Adjustments to Other income (expense), net ⁽¹⁾		
Amortization of debt issuance costs and discounts	—	1
Investment loss	—	1
Foreign exchange (gain)	(3)	(1)
Forward interest rate swap (gain) loss	(20)	7
Total adjustments to Other (expense) income, net	(23)	8
Income tax effect of adjustments ⁽²⁾		
Reported income tax expense	27	35
Adjusted income tax	(30)	(48)
Total adjustments to income tax	(3)	(13)
Total adjustments	32	54
Non-GAAP Net income	\$ 147	\$ 204
GAAP earnings per share		
Basic	\$ 2.24	\$ 2.92
Diluted	\$ 2.23	\$ 2.90
Non-GAAP earnings per share		
Basic	\$ 2.86	\$ 3.97
Diluted	\$ 2.84	\$ 3.94
Basic weighted average shares outstanding	51,387,570	51,420,536
Diluted weighted average and equivalent shares outstanding	51,790,501	51,748,069

(1) Presented on a pre-tax basis.

(2) Represents adjustments to GAAP income tax expense commensurate with pre-tax non-GAAP adjustments (including the resulting impacts to U.S. BEAT/GILTI provisions), as well as adjustments to exclude the impacts of certain discrete income tax items and incorporate the anticipated annualized effects of current year tax planning.

GAAP to Non-GAAP EBITDA Reconciliation

(In millions)
(Unaudited)

	Three Months Ended	
	March 30, 2024	April 1, 2023
GAAP Net income	\$ 115	\$ 150
Add back:		
Depreciation (excluding exit and restructuring)	17	17
Amortization of intangible assets	26	26
Total Other expense, net	17	40
Income tax expense	27	35
EBITDA (Non-GAAP)	202	268
Adjustments to Cost of sales		
Share-based compensation	2	1
Total adjustments to Cost of sales	2	1
Adjustments to Operating expenses		
Acquisition and integration costs	1	—
Share-based compensation	19	22
Exit and restructuring costs	10	10
Total adjustments to Operating expenses	30	32
Total adjustments to EBITDA	32	33
Adjusted EBITDA (Non-GAAP)	\$ 234	\$ 301
Adjusted EBITDA % of Adjusted Net Sales (Non-GAAP)	19.9 %	21.4 %

GAAP to Non-GAAP Free Cash Flow Reconciliation

(In millions)
(Unaudited)

	Three Months Ended	
	March 30, 2024	April 1, 2023
Net cash provided by (used in) operating activities	\$ 125	\$ (76)
Less: Purchases of property, plant and equipment	(14)	(16)
Free cash flow (Non-GAAP) ⁽¹⁾	<u>\$ 111</u>	<u>\$ (92)</u>

(1) Free cash flow, a non-GAAP measure, is defined as Net cash provided by (used in) operating activities in a period minus purchases of property, plant and equipment (capital expenditures) made in that period. This measure does not represent residual cash flows available for discretionary expenditures as the measure does not deduct the payments required for debt service and other contractual obligations or payments for future business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our entire statements of cash flows.



About Zebra

Zebra (NASDAQ: ZBRA) empowers the front line of business in retail, manufacturing, transportation and logistics, healthcare, and other industries to achieve a performance edge. We deliver industry-tailored, end-to-end solutions that intelligently connect people, assets and data to help our customers make business-critical decisions.

www.zebra.com

investors.zebra.com